

cess in India. As the cost of a single Blue Box beats the annual budget of most of its rivals, Pulverer and team would require to keep cost of products affordable in order to drive volume sales growth.

GIVEN THE KIND OF money it is pumping in, IKEA is clearly in India for the long haul. Over the past few years, it pumped in thousands of crores to put the local unit on a strong footing. In the run-up to its first Blue Box in Hyderabad, as per documents available with the Registrar of Companies (RoC), the global management from its Leiden (Netherlands) office infused at least ₹1,650 crore into the local unit between mid-2015 and end-2016. Plus, IKEA India raised ₹300 crore in masala bonds from IKEA Asia Treasury Centre Ltd, a

group entity based in Hong Kong.

As it geared up to open its Hyderabad store in 2018, with stores in Mumbai and Bengaluru in the pipeline, IKEA's India investments gained pace. In January 2018, the India unit reached out to Hong Kong again. By February, IKEA India raised ₹2,070 crore in two tranches against non-convertible debentures (NCDs), of which ₹1,370 crore, raised in January, was meant for purchasing land parcels in Hyderabad, Mumbai and Bengaluru, IKEA India said in RoC filings. Following another ₹750-crore equity infusion in April and raising its authorised share capital the next year, till June 6, 2022, the company has secured at least ₹4,400 crore against fresh equities, masala bonds and NCDs from group entities spread across Ireland, China and the Netherlands. RoC documents

show, between its inception in 2013 and June 6, 2022, IKEA India has raised at least ₹9,325 crore.

In comparison, IKEA India's net sales stood at ₹608 crore in 2020-21—7.4 per cent higher than the ₹566 crore it had posted a year ago. Its operating expenses, however, jumped to ₹1,092 crore from ₹1,067 crore in 2019-20. As a result, IKEA's net loss expanded to ₹808 crore in 2020-21, from ₹721 crore in 2019-20. According to industry experts like Tripathy, IKEA's vast scale of physical retail outlets is a key factor in its high initial costs. Its long-haul stance for the market allows it to invest such large sums of money without having to break even within the short- to medium term.

Take its flagship Navi Mumbai store, for instance. Spread across 500,000 sq. ft, the store may have cost IKEA in excess of ₹600 crore.

Tracking IKEA's investment trail and its milestones in the country

	FY20 ₹1,790 crore via denominated (masala) bonds by IKEA Asia Treasury Centre (Hong Kong, China)	DEC 2021 First smaller format city store in Mumbai	JUN 2022 Third Blue Box at Bengaluru	JUL 2022 Second city store in Mumbai
	AUG 2018 First Blue Box in India (Hyderabad)	AUG 2020 ₹550 crore via NCDs by IKEA Asia Treasury Centre (Hong Kong, China)	MAR 2021 ₹650 crore of equity infusion by Ingka Holding (Leiden, Netherlands)	JAN 2022 ₹850 crore of equity infusion by Ingka Holding (Leiden, Netherlands)
MAR 2019 Authorised share capital raised to ₹10,000 crore from ₹2,655 crore	DEC 2020 Second large-format outlet in Navi Mumbai		JUN 2022 ₹600 crore via NCDs by Fami Ltd (Dublin, Ireland)	

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